

WHAT TO DO WITH THE FOURTH QUADRANT

NOT USING THE WRONG MAP: THE NOTION OF IATROGENICS

So for now I can produce phronetic rules (in the Aristotelian sense of *phronesis*, decision-making wisdom). Perhaps the story of my life lies in the following dilemma. To paraphrase Danny Kahneman, for psychological comfort some people would rather use a map of the Pyrénées while lost in the Alps than use nothing at all. They do not do so explicitly, but they actually do worse than that while dealing with the future and using risk measures. They would prefer a defective forecast to nothing. So providing a sucker with a probabilistic measure does a wonderful job of making him take more risks. I was planning to do a test with Dan Goldstein (as part of our general research programs to understand the intuitions of humans in Extremistan). Danny (he is great to walk with, but he does not do aimless strolling, “*flâner*”) insisted that doing our own experiments was not necessary. There is plenty of research on anchoring that proves the toxicity of giving someone a wrong numerical estimate of risk. Numerous experiments provide evidence that professionals are significantly influenced by numbers that they know to be irrelevant to their decision, like writing down the last four digits of one’s social security number before making a numerical estimate of potential market moves. German judges, very respectable people, who rolled dice before sentencing issued sentences 50 percent longer when the dice showed a high number, without being conscious of it.

Negative Advice

Simply, don’t get yourself into the Fourth Quadrant, the Black Swan Domain. But it is hard to heed this sound advice.

Psychologists distinguish between acts of commission (what we do) and acts of omission. Although these are economically equivalent for the bottom line (a dollar not lost is a dollar earned), they are not treated equally in our minds. However, as I said, recommendations of the style “Do not do” are more robust empirically. How do you live long? By